

CONSTRUCTION CONTRACT AGREEMENT

Project: Riyadh Business Tower – Phase 1
Contract No: RBT-2025-001

1. PARTIES TO THE CONTRACT

This Construction Contract Agreement (the "Contract") is entered into on this 15th day of February 2025, by and between **Al-Faisal Holdings Ltd.**, a company registered in the Kingdom of Saudi Arabia under Commercial Registration No. 1010234567, with its registered office at Olaya District, Riyadh (hereinafter referred to as the "Employer"), and **Najd Construction Co.**, a company registered under Commercial Registration No. 1010987654, with its principal place of business at King Abdullah Road, Riyadh (hereinafter referred to as the "Contractor").

2. SCOPE OF WORK

The Contractor agrees to design, construct, complete, and hand over the Riyadh Business Tower – Phase 1, consisting of a 32-storey commercial office tower with a gross built-up area of approximately 78,500 square metres, three basement parking levels, a podium with retail concourse, and external landscaping works, all located on Plot 4521, King Fahd Road, Riyadh.

The scope shall include, but not be limited to: civil and structural works, mechanical, electrical and plumbing (MEP) installations, façade and curtain wall systems, internal fit-out and finishes, vertical transportation systems, fire-fighting and life-safety systems, building management systems, external works, soft and hard landscaping, and all associated testing, commissioning, and handover activities.

3. CONTRACT VALUE

The total fixed-price lump-sum contract value is **Saudi Riyals One Hundred Eighty-Seven Million, Four Hundred Fifty Thousand only (SAR 187,450,000)**, exclusive of Value Added Tax (VAT) at the prevailing rate of fifteen percent (15%). The Contract Value shall be paid in accordance with the payment schedule set out in **Schedule B** attached hereto.

4. CONTRACT DURATION

The Contractor shall commence the Works on the Commencement Date of **1 March 2025** and shall achieve Substantial Completion no later than **28 February 2027**, representing a total contract duration of twenty-four (24) calendar months. The Defects Liability Period shall be twelve (12) months from the date of Substantial Completion.

5. PAYMENT TERMS

Payments shall be made monthly upon submission and certification of Interim Payment Applications by the Engineer. The Employer shall pay each certified amount within thirty (30) calendar days of receipt of a valid invoice. Retention shall be deducted at five percent (5%) of each interim payment, capped at five percent (5%) of the Contract Value. Half of the Retention shall be released upon Substantial Completion, and the remaining half upon expiry of the Defects Liability Period.

Advance Payment

An Advance Payment of ten percent (10%) of the Contract Value, equivalent to SAR 18,745,000, shall be released to the Contractor within fifteen (15) days of execution of this Contract, against an unconditional Advance Payment Bond of equal value issued by a bank acceptable to the Employer.

6. PERFORMANCE SECURITY

The Contractor shall provide a Performance Bond equivalent to ten percent (10%) of the Contract Value (SAR 18,745,000) within ten (10) working days of contract execution. The Bond shall remain valid until twenty-eight (28) days after issuance of the Substantial Completion Certificate.

7. LIQUIDATED DAMAGES

In the event the Contractor fails to achieve Substantial Completion by the Contractual Completion Date, the Contractor shall pay to the Employer Liquidated Damages at the rate of **SAR 75,000 per calendar day** of delay, up to a maximum aggregate cap of **ten percent (10%) of the Contract Value**.

8. INSURANCE REQUIREMENTS

The Contractor shall procure and maintain throughout the term of this Contract the following insurance policies, naming the Employer as co-insured where applicable:

Policy Type	Minimum Coverage (SAR)
Contractors All Risks (CAR)	210,000,000
Third Party Liability	25,000,000
Workmen's Compensation	As per Saudi Labor Law
Professional Indemnity	15,000,000
Plant and Equipment	Replacement Value

9. VARIATIONS AND CHANGE ORDERS

The Employer reserves the right to issue Variation Orders during the course of the Works. All Variations shall be priced based on the rates in the BOQ where applicable, or by mutual agreement of fair market rates where new items are introduced. No Variation shall exceed twenty percent (20%) of the original Contract Value without prior written approval of both Parties.

10. DISPUTE RESOLUTION

Any dispute arising out of or in connection with this Contract shall first be referred to amicable negotiation between senior representatives of both Parties for a period of thirty (30) days. Failing settlement, the dispute shall be referred to arbitration under the Rules of the Saudi Center for Commercial Arbitration (SCCA), with the seat of arbitration in Riyadh and proceedings conducted in the Arabic language. The governing law shall be the laws of the Kingdom of Saudi Arabia.

11. KEY PERSONNEL

The Contractor shall assign and maintain the following Key Personnel for the duration of the Project:

Position	Minimum Experience
Project Director	20 years (10 years on tower projects)
Construction Manager	15 years
MEP Manager	12 years

QA/QC Manager	10 years
HSE Manager	10 years (NEBOSH IGC required)
Planning Engineer	8 years (Primavera P6)

12. SIGNATURES

IN WITNESS WHEREOF, the Parties hereto have executed this Contract on the date first above written.

For Al-Faisal Holdings Ltd. (Employer)

For Najd Construction Co. (Contractor)

Name: Eng. Khalid Al-Faisal

Name: Eng. Saleh Al-Otaibi

Title: Chief Executive Officer

Title: Managing Director

Date: 15 February 2025

Date: 15 February 2025